SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 3

Consumer Behavior & Customer Value

How do consumers decide? This week opens the buyer's black box: cultural, social, personal and psychological factors; four buying behaviors; the five-stage decision process; theories of choice and use; and new-product adoption. Case: Unilever Indonesia 2026 — winning 137m aspiring-middle-class consumers against Wings.

Material

1 The buyer's black box

Stimuli (4P + environment) → **buyer's black box** (characteristics + decision process) → responses. It takes research to see inside; intrinsic factors usually weigh more, and product type shapes choice.

2 Four groups of influencing factors

Factor	Contents
Cultural	Culture, subculture, social class
Social	Reference groups, family, roles & status
Personal	Age, occupation, economics, lifestyle, personality & self-concept
Psychological	Motivation, perception, learning, beliefs & attitudes

Self-concept: actual, ideal, social and ideal social self — brands help close the gap. Perception is selective and sensory; attitudes are hard to change, so fit products to them.

3 Four buying behaviors and five decision stages

	Big brand differences	Small differences
High involvement	Complex	Dissonance-reducing (e.g. rice cooker)
Low involvement	Variety-seeking	Habitual (e.g. detergent)

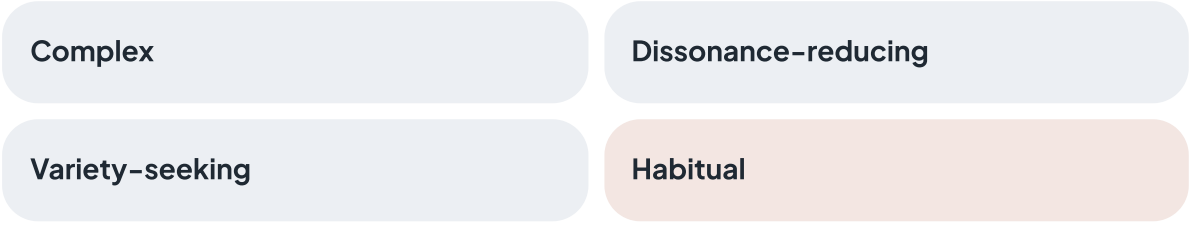
Product types: low-involvement, functional, ego-expressive. Decision process: need recognition → information search → evaluation → purchase → post-purchase (manage dissonance). Engel–Kollat–Blackwell model details it.

4 The buyer decision process as a funnel Deep dive



Habitual detergent purchases skip stages; levers are shelf availability, sachet price and the shopkeeper.

↕ Top: high involvement · bottom: low



↔ Left: big brand differences · right: small

5 Perceived value, satisfaction, theories of choice & use

```
Perceived value = Total customer value - Total customer cost
(money, time, energy, psychic)
```

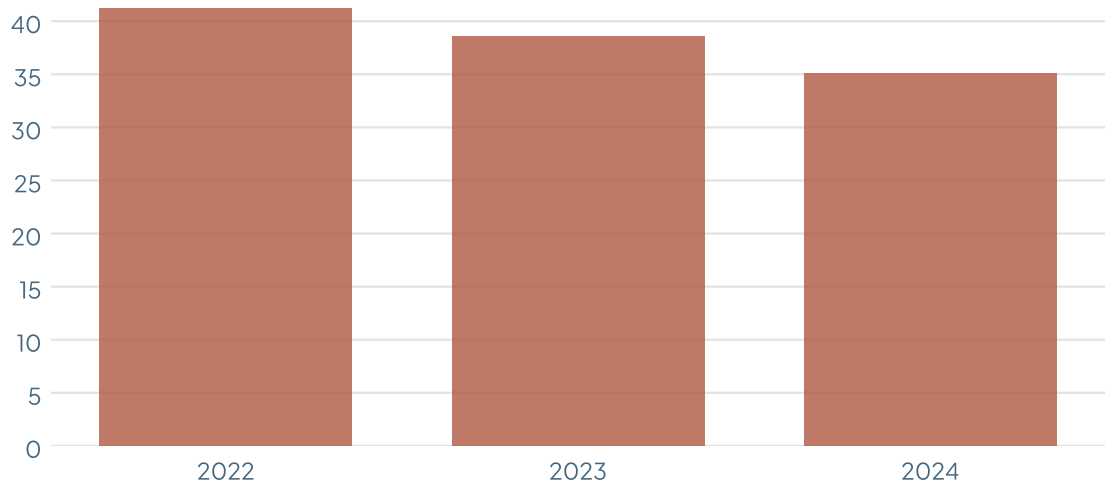
Theory of choice: decision-making unit, motivation, trigger, search depth/breadth, alternatives, place. **Theory of use:** consumption experience, relationship, disruption, positive surprises, meaning, brand. Brand relationship quality (love, trust, commitment, intimacy, attachment) drives advocacy and price premiums and can segment markets.

6 Adopting new products

Adoption: awareness → interest → evaluation → trial → adoption. Adopter categories: innovators 2.5%, early adopters 13.5%, early majority 34%, late majority 34%, laggards 16%. Faster adoption with relative advantage, compatibility, low complexity, divisibility (sachets!) and communicability.

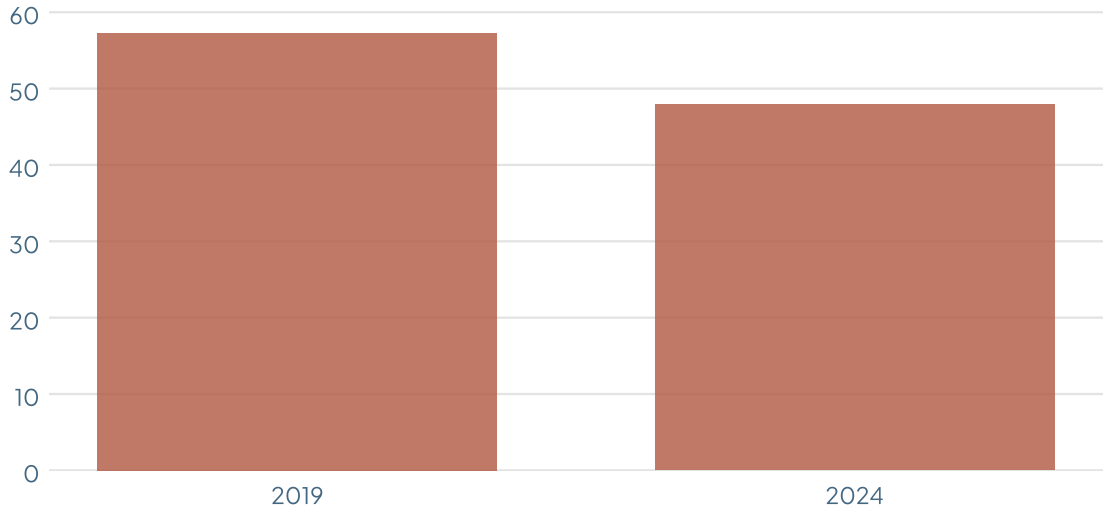
7 The UNVR case in numbers Deep dive

Unilever Indonesia revenue (IDR tn)



2022 and 2024 from the case; 2023 approx. from the annual report.

Indonesia's middle class shrinking (million people)

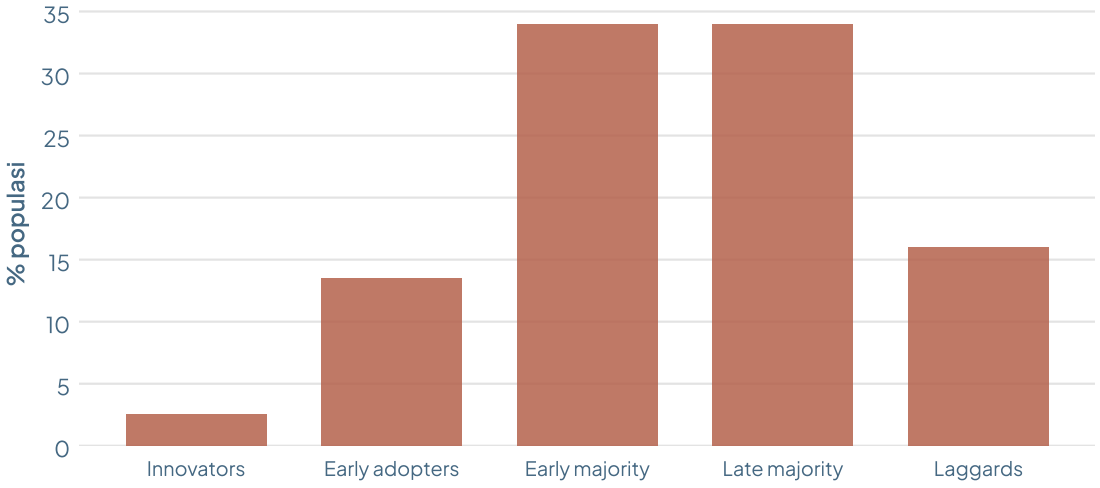


-8.7%
2024 revenue

20–25%
Daia cheaper than Rinso

49.2%
Aspiring middle class

Diffusion of innovation (Rogers)



Key takeaways

1. Black box: stimuli → characteristics & process → responses.
2. Four factors: cultural, social, personal, psychological; self-concept.
3. Four behaviors: complex, dissonance-reducing, variety-seeking, habitual.
4. Five stages: need → search → evaluation → purchase → post-purchase.
5. Perceived value = total value – total cost.
6. Adoption speeds up with advantage, compatibility, simplicity, divisibility, communicability.
7. Mass consumers budget per wash; sachets give access despite higher cost per wash.

Case studies

Case & worked answers

Case 2: Unilever Indonesia (2026) — winning the archipelago's mass market

Situation: UNVR revenue fell from IDR 41.2tn (2022) to 35.1tn (2024, −8.7%); home-care share slipped to ~34–35% amid Wings' cheaper Daia/SoKlin and post-2023 boycotts. Andi must pick an option.

Consumers: the middle class shrank to 47.9m while the aspiring class grew to ~137.5m — many remember premium brands. Fragrance is social currency; laundry is semi-public; they budget per wash; detergent is habitual buying at warungs; semi-automatic machines, QRIS and TikTok Shop are spreading.

Unit economics: manufacturer gross margin Rinso 800g 8,500 (49%) vs Daia 5,500 (50%); sachets cost more per wash (~1,000 vs ~800) — a poverty premium accepted for cash-flow reasons.

Options: A protects margin but cedes volume; B risks Surf dilution and distributor conflict; C is purpose-built (cf. Wheel, Ala) but costly. All must deliver quality, cost per wash and fragrance; differentiation vs Daia comes from reducing anxiety and badge value/hope.

Sample recommendation: C at the core for Tier 2/3 (local identity, index ~60, refill pouches anticipating sachet bans and EPR) while keeping A for urban/machine users; compute break-even cannibalization, use specialist distributors and warung-digitization data, and a "made in Indonesia" narrative.

Practice questions

Try answering first. The answer key is below each question.

1. Everyday detergent buying is…

A. Complex
B. Dissonance-reducing
C. Variety-seeking
D. Habitual

Answer: D. Low involvement.

2. UNVR 2024 revenue fell 8.7%. The volume component…

A. +5.2%
B. −3.6%
C. −5.2%
D. 0%

Answer: C. Price −3.6%, volume −5.2%.

3. Aspiring-middle-class shoppers budget detergent per…

A. Kg
B. Wash
C. Month
D. Year

Answer: B. Hence sachets.

4. The largest groups in Rogers' curve are…

A. Innovators
B. Early & late majority (34% each)
C. Laggards
D. Early adopters

Answer: B. 34% each.

---

5. The cultural factor making scent important is…

A. Scent signals a caring mother and social standing
B. Price
C. TV ads
D. Pack size

Answer: A. Washing is semi-public.

Sources

- -P3MD- Week 3–MK3.pdf
- Case 2 - Unilever Indonesia 2026 (SBM-ITB)
- Kotler & Armstrong bab 5